

INTERNAL AUDIT REPORT

Expense Audit | Report No. AR-02303

Report ID:	AR-02303
Audit Type:	Expense Audit
Report Date:	March 09, 2023
Audit Period:	2022-05-12 to 2023-02-28
Lead Auditor:	Brian Wheeler (EMP-68636)
Reviewed By:	Elizabeth Rodriguez (EMP-1919)
Primary Vendor Reference:	Alpha_Inc LLC (VND-04833)
Subject Employee Reference:	Adam Murphy (EMP-22692)
Primary Transaction Reference:	TXN-C1919940157
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This expense audit covered the period 2022-05-12 to 2023-02-28 and examined transactions, approvals, and compliance records associated with vendor Alpha_Inc LLC (VND-04833) and employee Adam Murphy (EMP-22692). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1919940157 (amount 26,210.38 GBP) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-002173	CRITICAL	VENDOR RISK	High-risk vendor RedPoint Consulting Holdings has no compliance record on file. Payment of \$412,479 released without compliance clearance.
FND-001328	LOW	MISSING RECEIPT	Expense claim EXP-103187 submitted for Meals without an attached supporting receipt.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000753	AUDIT REPORT	EVD-WLT-2283	0.85
EVI-003092	CONTRACT RECORD	EVD-RTP-7031	0.76
EVI-005186	APPROVAL RECORD	EVD-BQB-8479	0.86
EVI-008602	POLICY DOCUMENT	EVD-BXV-8982	0.60
EVI-009583	AUDIT REPORT	EVD-OLV-8355	0.53
EVI-010377	POLICY DOCUMENT	EVD-KBH-7925	0.92

5. RECOMMENDATIONS

- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Review and update vendor risk ratings following adverse compliance findings.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Brian Wheeler	EMP-68636	2023-03-09
Reviewing Officer	Elizabeth Rodriguez	EMP-1919	2023-03-11